Module 3: Module 3: Benefits, Provisions, and Ownership Rights

Lesson 1: Supplemental Benefits

Learning Objective

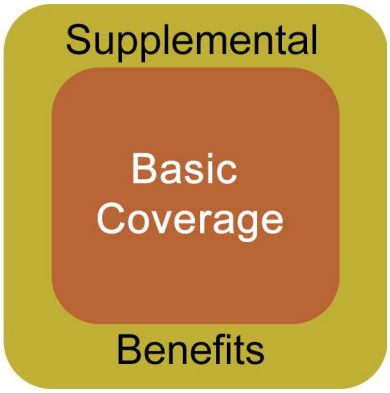
Identify three types of supplemental disability benefits that can be added to life insurance policies.

Life Insurance

Life insurance policies protect millions of lives and help meet a variety of financial needs.

But sometimes the basic insurance policy is not a complete solution.

Supplemental Benefits



Insurance companies sell supplemental benefits that expand basic life insurance coverage to help customers meet more of their financial needs.

Policyowners pay an additional premium for each supplemental benefit they select.

The additional charge ends when the supplemental benefit expires or is canceled.

Carter has questions—lots of them--that his new insurance agent, John Smith, can answer.

Who do YOUR customers call for answers to questions about supplemental benefits?

What if they called YOU?

Even if they don't call you, knowing answers to common questions helps you better serve customers, understand how your company's products meet customer needs, and perform your job.

Disability Benefits

Insurance companies offer three types of supplemental benefits to protect a life insurance policyowner or insured who becomes disabled.

Gloria:

Policy services, this is Gloria, how can I help you?

Paul:

This is Paul Long. I have a life insurance policy with you. When my friend became disabled, his premium was paid by his insurance company. Can I get something like that?

Gloria:

Certainly. Pending underwriter approval, we can add a waiver of premium for disability benefit where we pay the premium if you are totally disabled.

Paul:

I only have a term life policy....

Gloria:

We can add the waiver to almost any type of policy. Then, if you become disabled, you just submit proof of your total disability.

Waiver of Premium for Disability Benefit

One of the most common supplemental benefits that may be added to almost all individual life insurance policies is the waiver of premium for disability (WP) benefit.

Under a WP benefit, the insurance company pays the renewal premiums if the insured becomes totally disabled and satisfies a three- to six-month waiting period.

In other words, the insured must be totally disabled for three to six months and continue to make the premium payments that come due before the insurer will begin waiving premium payments. Some policies will refund the premiums paid during the waiting period if the insured is still disabled when the waiting period ends.

The WP benefit typically defines total disability for the insured as being unable to perform the duties of

Any occupation

The insured's own previous occupation

Any occupation for which the insured is reasonably suited by education, training, or experience

Most WP benefits define **total disability** as the insured's inability to perform the duties of any occupation for which the insured is reasonably suited by education, training, or experience. The insurer usually requires periodic proof that the insured continues to be totally disabled.

Paul:

That sounds great. I also have a life insurance policy on my wife. Can I add the waiver to that policy?

Gloria:

If you own the policy and pay the premiums, then you can add a waiver of premium for payor benefit, pending underwriter approval. We'll waive the premiums for that policy if you die or become totally disabled.

Waiver of Premium for Payor Benefit

Most individual life insurance policies are issued to a policyowner who is also the insured. However, sometimes the policyowner is not the insured but a third-party. Under a waiver of premium for payor benefit, the insurer waives renewal premiums if the policyowner, rather than the insured, dies or becomes totally disabled.

For example, the benefit often is attached to a juvenile insurance policy covering the life of a child. The policy is owned and paid for by an adult, usually the child's parent or legal guardian.

For juvenile policies, the insurer usually waives the premiums until the insured child reaches a specified age, such as 18 or 21, when the ownership of the policy and the responsibility for paying the premiums passes to the insured.

To add a waiver of premium for payor benefit to a life insurance policy, who do you think must be insurable?

- ❑ The insured
- ❑ The policyowner
- ❑ Both the insured and the policyowner
- ❑ Neither the insured or the policyowner

Answer: Both the insured and the policyowner
Explanation: The policyowner generally must provide satisfactory evidence of insurability—in addition to providing evidence of the insurability of the insured in order to add a waiver of premium for payor benefit to a life insurance policy.

Waiver of Premiums Benefits Compared

What is the difference between the waiver of premium for ***disability*** benefit and the waiver of premium for ***payor*** benefit?

Waiver of Premium for *Disability* Benefit	Waiver of Premium for *Payor* Benefit
Insurer waives policy premiums if the insured becomes totally disabled.	Insurer waives policy premiums if the policyowner dies or becomes totally disabled.
Designed for policies in which the policyowner is also the policy's insured	Designed for third-party policies in which the policyowner is **not** the policy's insured
Total disability defined as • The insured's inability to perform the essential duties of her own occupation OR any other occupation for which she is reasonably suited by education, training, or experience.	Total disability defined as • The policyowner's inability to perform the essential duties of her own occupation *during the first two years of disability* • The policyowner's inability to perform the essential duties of any occupation for which she is reasonably entitled by education, training, or experience *after the first two years of disability*

Disability Income Benefit

One other disability benefit offered with some life insurance policies is a **disability income benefit**.

If the insured becomes totally disabled, after a waiting period of three to six months, the insurance company pays a monthly disability income. This benefit typically contains a definition of total disability that is the same as the definition in a waiver of premium (WP) for disability benefit.

The amount of the monthly income benefit is a stated percentage, often one percent, of the policy's face amount. Some DI benefits state either a maximum monthly benefit amount payable or a maximum benefit period or both.

Some disability income benefit riders also provide a benefit if the insured becomes partially disabled.

Identify the supplemental disability benefit rider with its example.

1. The UL insurance policy Drew Stephens owns on his life includes a rider that will pay him a monthly benefit if he becomes totally disabled.
    1. Disability income benefit rider
    1. Waiver of premium for payor rider
    1. Waiver of premium for disability rider

1. Answer: Disability income benefit rider

2. A rider on Mary Margaret Satterfield's insurance policy specifies that her insurer will pay her renewal premiums if she becomes disabled.

- ❑ Disability income benefit rider
- ❑ Waiver of premium for payor rider
- ❑ Waiver of premium for disability rider

Answer: Waiver of premium for disability rider

3. A rider on Benjamin Mumford's policy covering the life of his daughter provides that the insurer will waive the policy's renewal premiums if Mr. Mumford dies or becomes totally disabled.

- ❑ Disability income benefit rider
- ❑ Waiver of premium for payor rider
- ❑ Waiver of premium for disability rider

Answer: Waiver of premium for payor rider

Accidental Death Benefits

Learning Objective

Describe the characteristics of an accidental death benefit rider.

People who believe they may have a greater likelihood of a fatal accident than most people can purchase an **accidental death benefit** that provides an additional death benefit if an accident causes the insured's death.

What do you think?

Why is an accidental death benefit sometimes called a *double indemnity benefit*?

- ❑ It frequently doubles the policy's face amount
- ❑ It requires two forms of proof that the death was accidental
- ❑ It doubles the premium for the coverage

Answer: It frequently doubles the policy's face amount

Explanation: Frequently, the amount of an accidental death benefit is equal to the face amount of the life insurance policy, which **doubles** the total face amount payable when the insured dies in an accident. However, the accidental death benefit may be some other multiple of the policy's face amount—such as three times the face amount—or it may be unrelated to the face amount.

Sometimes it's hard to determine if an accident was actually the cause of death.

1. Accidental death benefit riders typically include certain exclusions. In other words, the insurer will not pay accidental death benefits if the insured's death results from certain stated causes. Which of the following causes of death do you think are typically excluded? (Choose all that apply.)
   - ❑ Death resulting from suicide
   - ❑ Death as a result of war-related accidents
   - ❑ Aviation-related accidents other than as a passenger on an airplane
   - ❑ Death occurring during the commission of a crime

Anwser: All is correct

Explanation: All of these causes are typically excluded. Note that the exclusions relate only to the accidental death benefit. Often times, the policy's basic death benefit is still payable.

2. Some life insurance policies include an accidental death and dismemberment benefit. Do you think that such policies pay two benefits: one for death caused by an accident and an additional benefit if the deceased is dismembered in the accident?
   - ❑ Yes
   - ❑ No
   - ❑ Sometimes

Anwser: No

Explanation: Only one benefit or the other applies, not both. Let's see how it works.

Accidental Death and Dismemberment (AD&D) Benefit

The accidental death and dismemberment (AD&D) benefit pays an accidental death benefit if an insured dies by accidental means or it pays a dismemberment benefit to an insured if an accident causes the insured to lose any two limbs or the sight in both eyes.

- The dismemberment benefit amount is same as accidental death benefit
- A smaller benefit may be payable for loss of one limb or one eye

Kevin Walter was the policyowner-insured of a $75,000 life insurance policy that included a typical $75,000 accidental death and dismemberment (AD&D) benefit rider. While his policy was in force, Mr. Walter, who had been diagnosed with terminal stomach cancer, died in a traffic accident.

1. If Mr. Walter's insurance company determines that the accident was the cause of his death, the total death benefit payable to the policy's beneficiary would be
   - ❑ 0
   - ❑ $75,000
   - ❑ $150,000

Answer: $150,000

Explanation: Because the accident caused Mr. Walter's death, his beneficiary is entitled to the accidental death benefit as well as the basic death benefit.

2. If Mr. Walter from the previous question had survived the accident but had lost one arm and one leg, the benefit rider would have provided him with a dismemberment benefit of
   - ❑ 0
   - ❑ $75,000
   - ❑ $150,000

Answer: $75,000

Explanation: The AD&D rider provides for a stated benefit amount (in this case $75,000) if an accident causes the insured to lose any two limbs or the sight in both eyes.

Accelerated Death Benefit Riders

Learning Objective

Identify three types of accelerated death benefit riders and recognize the differences among those riders.

Accelerated Death Benefits (Living Benefits)

An accelerated death benefit (living benefit) allows a policyowner access to some or all of a life insurance policy's death benefit in certain circumstances while the insured is alive.

An accelerated death benefit can be added to just about any life insurance policy.

However, to keep administrative costs down, some insurers limit the benefit to policies with a large face amount, typically over $100,000:

- Payment reduces death benefit to the beneficiary
- Usually, paid in a lump sum that is 25% to 75% of the policy face amount

Let's see how accelerated death benefits work.

Gloria:

Policy services, this is Gloria, how may I help you?

Ellen:

Hi Gloria, my name is Ellen Hall. My mother Carmen Stevens has a life insurance policy with you. She's very sick, breast cancer. Her doctor doesn't think she has very much longer.

Gloria:

I'm very sorry to hear about your mother. I can imagine how difficult this time has been for you.

Ellen:

Thank you, it's been very rough. We've been trying to stay positive but sometimes, well it's hard.

Gloria:

I am sure.

Ellen:

She has a lot of bills that have piled up. I mean more than we can handle. A lot of medical stuff. There have been so many procedures, poor thing, and well not every dime has been covered. Some bill collectors have started calling and they can be so awful.

Gloria:

I understand.

Ellen:

When mom's old bridge partner got really sick she was able to get some money from her life insurance before she died. Is that possible with my mom's policy? Anything that she could get now would really take the pressure off.

Gloria:

Let's see if we can help you out. Your mom's friend was referring to an accelerated death benefit rider which would be attached to the main policy. Maybe you have heard the term "living benefit"?

Ellen:

I think that sounds familiar.

Gloria:

That's another term for accelerated death benefit because it pays a policy benefit to the insured person while they are still living. There's several different kinds of accelerated death benefits but the most common is a terminal illness benefit.

Ellen:

So do you have to be terminally ill to collect?

Gloria:

That's right. The TI rider pays for part of the death benefit if the insured has less than 12 months to live. Is that the case for your mother?

Ellen:

Uh, yes, her oncologist is telling us three to six months.

Gloria:

Ok, I'm checking your mother's policy now and it does have a terminal illness benefit rider attached.

Ellen:

That is great news.

Gloria:

Normally to add a terminal illness benefit the policy's face value must be 100,000 or above. Your mother's policy is 250,000.

Ellen:

Can she get all 250,000 now?

Gloria:

I'm afraid not. Usually the policy owner can get up to 75 percent of the face amount, that's 187,500 in your mom's case.

Ellen:

That still would be a great help.

Gloria:

If you would like to proceed I can send you a TI benefit election form. We'll also need your mom's policy and a statement from her doctor certifying her life expectancy. Normally we pay the TI benefit in a lump sum.

Ellen:

Yes, please start the process. And thank you so much for your help. This is the first good news we've had in a while.

Gloria:

My pleasure.

Terminal Illness Benefit

The most common type of accelerated death benefit is the **terminal illness (TI) benefit**, which pays a portion of the policy's death benefit if the insured has a terminal illness with a physician-certified life expectancy of less than a specified period, usually 12 or 24 months.

Although TI benefits are commonly used to pay for medical care, living expenses, or outstanding debts, they can be used for any purpose, such as travel expenses.

Two other forms of accelerated death benefits:

- Dread disease benefit

- Long-term care insurance benefit

Dread Disease (DD) Benefit

A dread disease (DD) benefit *(critical illness benefit)* pays a portion of a policy's face amount if the insured suffers from one of several diseases listed in the benefit's contract wording.

The benefit can be paid in a lump sum or in installments over 6 to 12 months.

What do you think?

An insured becomes eligible for DD benefits when he or she has a disease or undergoes a medical procedure identified as a DD in the supplementary benefit. Which of the following diseases or procedures do you think typically qualifies an insured for DD benefits? (Choose all that apply.)

- ❑ Life-threatening cancer
- ❑ Acquired Immune Deficiency Syndrome (AIDS)
- ❑ Diabetes

- ❑ End-stage kidney failure
- ❑ Heart attack
- ❑ Stroke
- ❑ Multiple sclerosis
- ❑ Coronary bypass surgery

Answer: All, except diabetes and multiple sclerosis
Explanation: Of these diseases and medical procedures, only diabetes and multiple sclerosis are not typically considered dread diseases. In most cases; the remaining diseases and medical conditions would qualify for the DD benefit under most policies.

Long-Term Care (LTC) Insurance Benefit

The **long-term care (LTC) insurance benefit** is an accelerated benefit payable if the insured requires extended LTC that meets policy provisions.

- Premiums on basic life insurance policy and the LTC benefit rider—waived while insured receives LTC
- Waiting period—typically 90 days
- Monthly LTC benefit—stated as a percentage of policy face amount such as 2 percent
- Payments stop when specified percentage (50 to 100 percent) of policy benefit has been paid out

Let's review long term care.

Long-Term Care

Long-term care is a range of services that meet a person's medical and personal needs in a variety of settings for an extended time. Most long-term care supports activities of daily living, such as dressing, bathing, and using the bathroom.

Long-term care benefits cover nursing home care, assisted living care, home health care, and adult daycare.

Accelerated death benefits are payable only after the death of the policyowner-insured.

- ❑ True
- ❑ False

Answer: False

Explanation: Accelerated death benefit riders provide that, under certain conditions, a policyowner can receive all or part of the policy's death benefit before the insured's death.

Identify the type of accelerated death benefit to its example.

Kyle Zabriski's accelerated death benefit rider will pay him because he is suffering from kidney failure, which is an affliction specified in the rider.

- ❑ Dread disease benefit rider
- ❑ Long-term care benefit rider
- ❑ Terminal illness benefit rider

Answer: Dread disease benefit rider

Andrew Wise's accelerated death benefit rider will pay him because he requires constant nursing home care due to advanced Alzheimer's disease. The monthly benefit will equal 2 percent of the policy's face amount.

- ❑ Dread disease benefit rider
- ❑ Long-term care benefit rider
- ❑ Terminal illness benefit rider

Answer: Long-term care benefit rider

Michelle Young's accelerated death benefit rider will pay her because her attending physician has certified that she has a life expectancy of less than 12 months.

- ❑ Dread disease benefit rider

- ❑ Long-term care benefit rider
- ❑ Terminal illness benefit rider

Answer: Terminal illness benefit rider

Insurance Riders

Learning Objective

Explain how a life insurance policy's coverage can be expanded to insure more than one individual.

Three types of riders can extend life insurance policy coverage to people other than the primary insured:

- Spouse and children's insurance rider
- Children's insurance rider
- Second insured rider

Spouse and Children's Insurance

A spouse and children's insurance rider (*family insurance rider*) provides term coverage for—you guessed it—a spouse and children of the insured on the basis of coverage units.

But, what's a coverage unit?

Coverage Units

Insurers use coverage units—basic amounts of insurance coverage—as a measure of the amount of coverage available under the rider.

For a spouse and children's insurance rider, ONE coverage unit usually equals:

- $5,000 for a spouse
- $1,000 for a child

Most insurers limit the number of coverage units that can be purchased for a spouse or child. What do you think is the normal limit for coverage units?

- ❑ 5 to 10
- ❑ 10 to 20
- ❑ 20 to 40

Answer: 5 to 10

Explanation: The limit is normally 5 to 10 coverage units per policy, or $25,000 to $50,000 in coverage for a spouse and $5,000 to $10,000 in coverage for a child.

Premium Amount

The premium for children's coverage is a flat amount for any number of children. A child added to the family is covered automatically at no extra premium when the child reaches age 15 days.

Children's coverage ends at a stated age, typically 21 to 25. However, a conversion privilege usually allows the coverage to be converted to an individual policy without providing evidence of insurability.

A spouse and children's insurance rider on Grace Wilson's $100,000 whole life policy allows her to purchase 10 coverage units of term insurance. What is the maximum amount of insurance she can buy for her husband, Walt, her 16-year-old son, Frederick, and her 6-year-old daughter, Fern?

What is the maximum amount of insurance can Grace buy for her husband, Walt?

- ❑ $100,000
- ❑ $50,000

Answer: $50,000

What is the maximum amount of insurance can Grace buy for her son, Frederick?

- ❑ $10,000
- ❑ $5,000

Answer: $10,000

What is the maximum amount of insurance can Grace buy for her daughter, Fern?

- ❑ $10,000
- ❑ $5,000

Answer: $10,`000

A typical coverage unit is $5,000 for a spouse and $1,000 for each child. Grace's policy provides for 10 coverage units, so she can buy up to $50,000 of term life for Walt (10 coverage units × $5,000 per unit) and $10,000 of term life for Frederick and Fern (10 coverage units × $1,000 per unit).

Children's Insurance Rider

- Sold in coverage units

- Premium per coverage unit is the same regardless of the number and ages of children

Who do you think insurers developed this type of rider for? **Single parent households!**

Second Insured Rider

A **second insured rider** provides coverage for another person, such as a

- Spouse
- Relative
- Business partner

This may sound like a spouse and children's rider, but there are important differences.

How is a second insured rider different from a spouse and children's rider? (Choose all that apply.)

- The coverage amount for the second insured is not related to the primary policy coverage.
- The premium charged is based on the risk characteristics of the second insured rather than the primary insured.
- The second insured cannot be married to the primary insured.

That's correct!

The second insured's coverage amount is not related to the primary insured's coverage. The premium for additional coverage is based on the second insured's own risk characteristics. The second insured can be the spouse or some other relative of the primary insured.

Under a children's insurance rider, the premium amount charged for each coverage unit varies with the number of children covered and their ages.

- ❑ True
- ❑ False

Answer: False

Explanation: The premium charged for each coverage unit is a stated amount, regardless of the number of children covered and their ages.

Under which type of rider is the additional coverage **not** related to the coverage provided under the basic policy?

- Spouse and children's insurance rider
- Children's insurance rider
- Second insured rider

Answer: Second insured rider

Explanation: The amount of additional coverage under the second insured rider is not related to the coverage under the basic policy. The additional coverage under the spouse and children's insurance rider and the children's insurance rider is based on the coverage units of the basic policy.

The premium for children's coverage under a spouse and children's insurance rider increases proportionately with each additional child.

- ❑ True
- ❑ False

Answer: False

Explanation: The premium for the children's coverage under a spouse and children's insurance rider is a specified, flat amount that does not change with the number of children. Additional children are covered automatically at no extra premium after they reach the age of 15 days.